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- There are several persons who need the accounting information - internal users and external users.
- Accountants have several roles and responsibilities.

Self-examination questions



I Multiple choice questions

Choose the correct answer

1. The root of financial accounting system is

   (a) Social accounting (b) Stewardship accounting

   (c) Management accounting (d) Responsibility accounting

2. Which one of the following is not a main objective of accounting?

   (a) Systematic recording of transactions

   (b) Ascertainment of the profitability of the business

   (c) Ascertainment of the financial position of the business

   (d) Solving tax disputes with tax authorities

3. Which one of the following is not a branch of accounting?

   (a) Financial accounting (b) Management accounting

   (c) Human resources accounting (d) None of the above.

4. Financial position of a business is ascertained on the basis of

   (a) Journal (b) Trial balance (c) Balance Sheet (d) Ledger

5. Who is considered to be the internal user of the financial information?

   (a) Creditor (b) Employee (c) Customer (d) Government

Answers

1 (b)	2 (d)	3 (d)	4 (c)	5 (b)

II Very short answer questions

1. Define accounting.
2. List any two functions of accounting.
3. What are the steps involved in the process of accounting?